

INSURANCE AND PENSIONS COMMISSION

SHORT TERM INSURERS AND REINSURERS

MARKET STATISTICS FOR 2010, FIRST QUARTER

LIST OF ACRONYMS AND ABBREVIATIONS

GPW – Gross Premium Written

NPI – Net Premium Income

GPI – Gross Premium Income

IBNR – Incurred But Not Reported

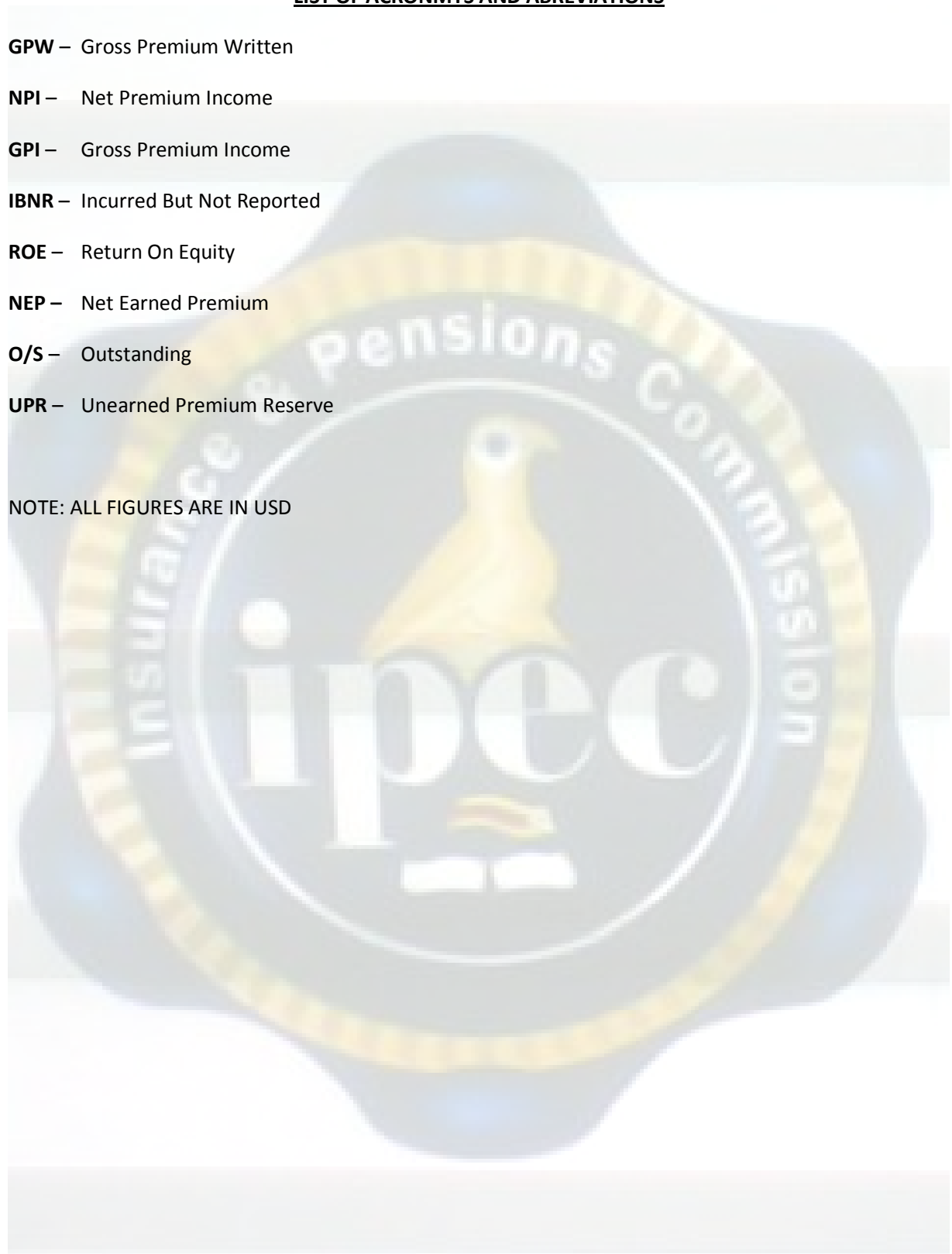
ROE – Return On Equity

NEP – Net Earned Premium

O/S – Outstanding

UPR – Unearned Premium Reserve

NOTE: ALL FIGURES ARE IN USD



1.0 OVERVIEW

The operating environment continues to be a challenge for most insurance and reinsurance companies. The economy is still facing major liquidity challenges as the culture of risk financing is yet to come back due to low income levels.

Overall there has been an improvement in terms of performance considering the figures at hand. As you will recall in the year 2009, the Gross premium was US\$76m compared to US\$37m already collected for the first quarter. It is with this hope that the Insurance and Pensions Commission calls upon the insurance industry to practise good insurance principles so as to bring back confidence in the sector.

The major highlight has been the recapitalization of insurance companies, both long term and short term as per Statutory Instrument 183 of 2010. The deadline for compliance was the 31ST of March 2010. Further details on the post 31ST March 2010 state of the insurance sector will be availed in our mid-year report.

This report focuses on statistical performance of short term direct insurers and reinsurers for the period ending 31ST March 2010.

Few comments are made as a general observation though the accurate overview of the industry will be possible in the last quarter.

Outlook

It is hoped that the economic environment continues to improve so as to enable the insurance sector to contribute to the economic development of the country.

2.0 CONTRIBUTION BY COMPANY

2.1 SHORT TERM

Company	GPW	NPI	% contribution on GPI	% contribution on NPI
AICO	59,042.00	25,512.00	0.16	0.14
Alliance	3,195,302.00	2,075,373.00	8.41	11.04
Allied	334,834.00	308,094.00	0.88	1.64
Altfin	2,238,000.00	1,374,000.00	5.89	7.31
Asset Boost	108,000.00	69,000.00	0.28	0.37
Bateleur	0.00	0.00	0.00	0.00
Brownstone	22,392.00	22,392.00	0.06	0.12
Cell	6,769,852.00	1,627,538.00	17.83	8.66
Champions	142,939.00	138,227.00	0.38	0.74
Clarion	100,240.00	78,520.00	0.26	0.42
Credsure	380,398.00	178,077.00	1.00	0.95
Eagle	3,241,309.00	2,073,399.00	8.53	11.03
Evolution	430,884.00	101,336.00	1.13	0.54
Excellence	871,244.00	747,679.00	2.29	3.98
ECGC	61,929.00	35,848.00	0.16	0.19
Gallant	181,854.00	139,260.00	0.48	0.74
Global	99,732.00	81,832.00	0.26	0.44
Heritage	828,757.00	450,489.00	2.18	2.40
Jupiter	467,843.00	382,560.00	1.23	2.04
KMFS	38,781.00	32,945.00	0.10	0.18
Mercury	60,211.00	57,690.00	0.16	0.31
Millenial	49,082.00	48,491.00	0.13	0.26
Nicoz	3,333,100.00	2,382,100.00	8.78	12.68
Optimal	652,417.00	166,724.00	1.72	0.89
Quality	82,000.00	66,000.00	0.22	0.35
Regal	119,344.00	92,741.00	0.31	0.49
RM	2,486,457.00	1,743,486.00	6.55	9.28
SFG	354,685.00	340,632.00	0.93	1.81
Tetrad	3,425,370.00	756,370.00	9.02	4.03
Total	0.00	0.00	0.00	0.00
Tristar	2,891,663.00	1,775,065.00	7.61	9.45
Zimnat Lion	4,949,173.00	1,418,908.00	13.03	7.55
TOTAL	37,976,834.00	18,790,288.00	100.00	100.00

Table 1.1: Contribution by Company for Short term

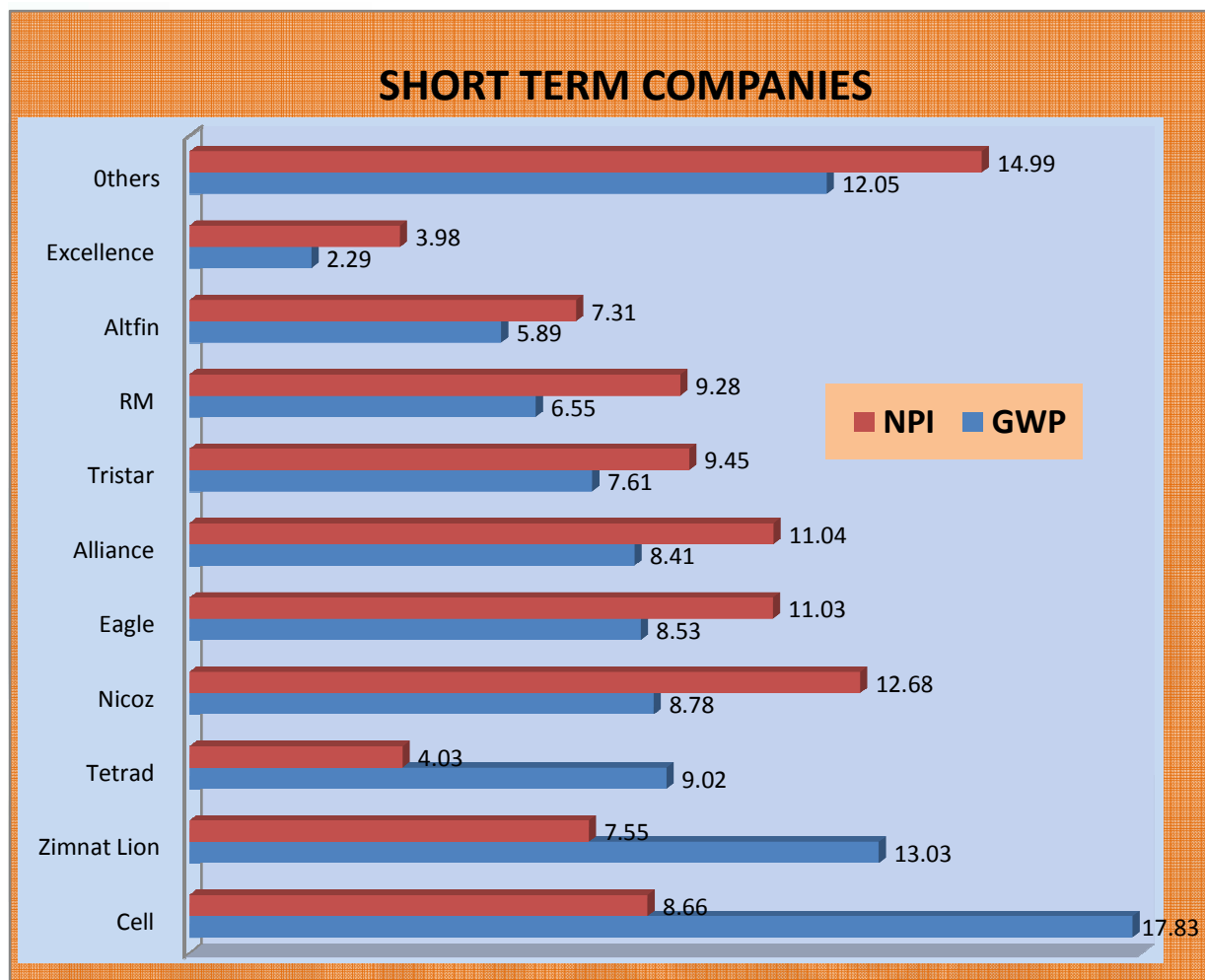


Figure 1.1: Gross Written Premium/ Net Premium Income for Short term

In the first quarter 87,95% of the GWP was contributed by 10 short term insurers while 22 insurance companies accounted for 12,05%. It is also interesting to note that the bulk of the insurance companies have already done close to 50% of the annual GPW of 2009. Should this trend be maintained to the year end we may see a significant improvement in the income of the industry.

Net Premium Income for the period under review was 18,790,288 of which 85,01% was contributed by 10 short term companies. The first quarter NPI is 62,16% of 2009 total annual NPI.

2.1.2 REINSURERS

Company	GPW	NPI	% Contribution	% Contribution
Baobab Re	9,367,816.00	8,009,795.00	49.58	60.74
Capland Re	0.00	0.00	0.00	0.00
Colonade	159,425.00	159,425.00	0.84	1.21
FBC Re	1,514,033.00	1,214,584.00	8.01	9.21
FMRE	4,001,763.00	1,884,092.00	21.18	14.29
Grand Re	1,128,145.00	539,440.00	5.97	4.09
New Re	0.00	0.00	0.00	0.00
Rhino Re	0.00	0.00	0.00	0.00
Tropical Re	1,022,270.00	441,870.00	5.41	3.35
ZB Re	1,701,820.00	937,495.00	9.01	7.11
TOTAL	18,895,272.00	13,186,701.00	100.00	100.00

Table 1.2: Contribution by Company for Reinsurers

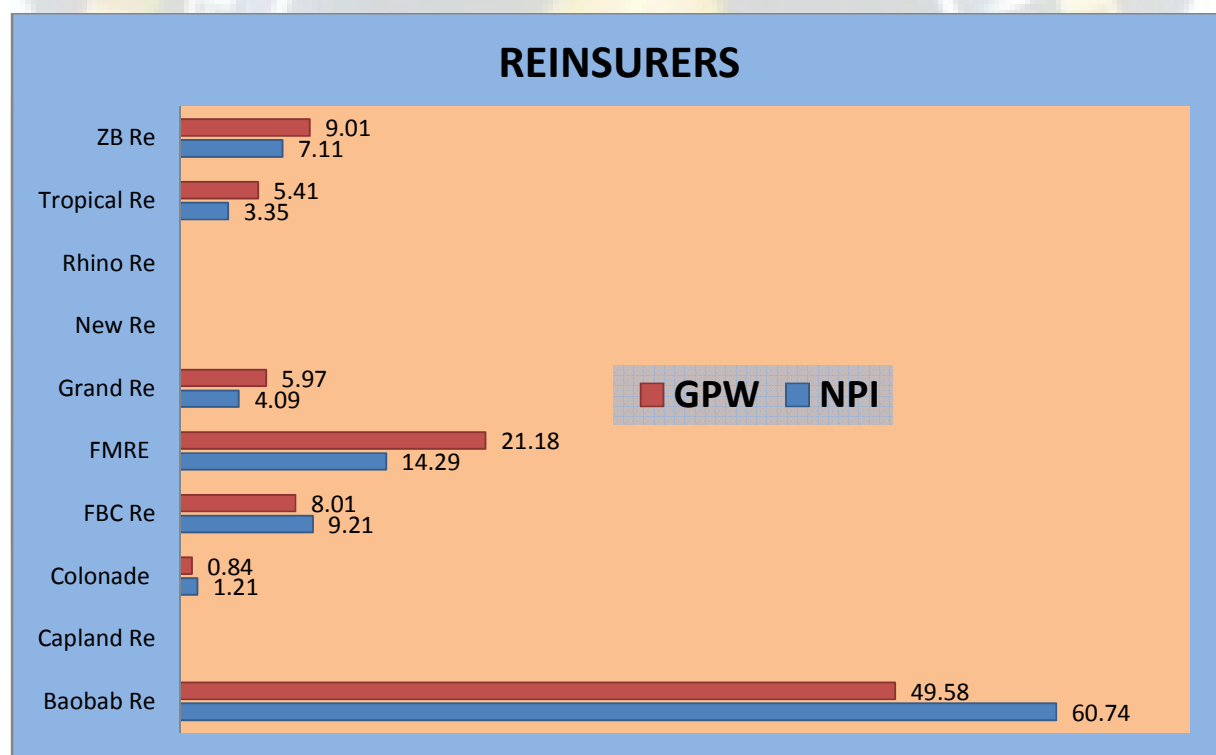


Figure 1.2: Gross Written Premium/ Net Premium Income for Reinsurers

As can be shown by the table and graph above, the major shares of reinsurers' GPW and NPI were accounted for by one industry player who contributed 49,58% of the GPW and 60,74% of NPI. It is also interesting to note that two players accounted for 75,03% and 70,76% of GPW and NPI respectively.

It is hoped that as direct insurers do more business and the economic environment continue to improve; more business will flow to all reinsurance players.



2.2 PREMIUM INCOME -BY CLASS

2.2.1 SHORT TERM

Contribution by Class	GPI	%
Fire	11,875,217.00	31.27
Motor	11,464,456.00	30.19
Engineering	3,106,184.00	8.18
Marine	792,575.00	2.09
Aviation	29,700.00	0.08
P/Accident	2,084,752.00	5.49
P/Liability	831,859.00	2.19
Misc Accident	2,592,567.00	6.83
Bonds/Guarantee	1,234,385.00	3.25
H/Purchase	100,582.00	0.26
Hail	3,446,072.00	9.07
Health	0.00	0.00
Farming	418,485.00	1.10
Total	37,976,834.00	100.00

Table 2.1: Gross Premium Income By Class for Short term

Class	NPI	%
Fire	3,069,980.00	16.34
Motor	9,762,592.00	51.96
Engineering	499,144.00	2.66
Marine	312,457.00	1.66
Aviation	3,448.00	0.02
P/Accident	1,459,677.00	7.77
P/Liability	195,103.00	1.04
Misc Accident	1,720,764.00	9.16
Bonds/Guarantee	598,297.00	3.18
H/Purchase	70,924.00	0.38
Hail	776,336.00	4.13
Health	0.00	0.00
Farming	321,566.00	1.71
TOTAL	18,790,288.00	100.00

Table 2.2: Net Premium Income by Class for short term

Fire and motor insurance accounted for 61,46% of GPI. Fire insurance is dominant in GPI while motor insurance leads on NPI with 51,96% of the aggregate.

2.2.2 REINSURERS

Class	GPI	%
Fire	8,074,646.00	42.73
Motor	2,993,362.00	15.84
Engineering	1,317,946.00	6.98
Marine	1,041,998.00	5.51
Aviation	827,774.00	4.38
P/Accident	39,790.00	0.21
P/Liability	176,705.00	0.94
Misc Accident	3,108,196.00	16.45
Bonds/Guarantee	266,142.00	1.41
H/Purchase	0.00	0.00
Hail	670.00	0.00
Health	581,725.00	3.08
Farming	466,318.00	2.47
Total	18,895,272.00	100.00

Table 2.3: Gross Premium Income By Class for Reinsurers

Class	NPI	%
Fire	4,972,257.00	37.42
Motor	2,282,604.00	17.18
Engineering	933,646.00	7.03
Marine	-11,635.00	-0.09
Aviation	825,903.00	6.22
P/Accident	38,040.00	0.29
P/Liability	172,514.00	1.30
Misc Accident	2,850,811.00	21.46
Bonds/Guarantee	248,981.00	1.87
H/Purchase	0.00	0.00
Hail	400.00	0.00
Health	533,212.00	4.01
Farming	439,968.00	3.31
Total	13,286,701.00	100.00

Table 2.4: Net Premium Income by Class for Reinsurers

Fire insurance contributed 42,73 of gross premium income ceded to reinsurers. This means that 68% of fire insurance GPI received by short term insurer was reinsured. It also shows that 61,58% of the fire insurance was retained by reinsurers and 38,42% was in turn send for

retrocession by reinsurers. It appears the majority of direct insurers have no capacity to retain more fire insurance though it is the lead source of Gross Premium Income.

Other observations were as follows :

- Fire, motor and Misc Accident dominated NPI by class for short term with 75,06%
- NPI was 70,32% of gross premium income by class for reinsurers.
- Only marine had a negative NPI during the period under review.



3.0 REINSURANCE BY COMPANY

3.1 SHORT TERM

Company	Gross Premium Income	Reinsurance Ceded	Net Premium Income	Reinsurance as % of GPI	Retention as % of GPI
Evolution	430,884.00	328,734.00	101,336.00	76.29	23.71
Cell	6,769,852.00	5,142,314.00	1,627,538.00	75.96	24.04
Optimal	652,417.00	485,693.00	166,724.00	74.45	25.55
Zimnat Lion	4,949,173.00	3,530,265.00	1,418,908.00	71.33	28.67
Agricultural	59,042.00	33,530.00	25,512.00	56.79	43.21
Credit	380,398.00	202,321.00	178,077.00	53.19	46.81
Heritage	828,757.00	378,268.00	450,489.00	45.64	54.36
ECCG	61,929.00	26,081.00	35,848.00	42.11	57.89
Altfin	2,238,000.00	864,000.00	1,374,000.00	38.61	61.39
Tristar	2,891,663.00	1,116,598.00	1,775,065.00	38.61	61.39
Asset Boost	108,000.00	39,000.00	69,000.00	36.11	63.89
Eagle	3,241,309.00	1,167,910.00	2,073,399.00	36.03	63.97
Alliance	3,195,302.00	1,119,929.00	2,075,373.00	35.05	64.95
Clarion	100,240.00	32,210.00	78,520.00	32.13	67.87
RMI	2,486,457.00	742,971.00	1,743,486.00	29.88	70.12
Nicoz Diamond	3,333,100.00	951,000.00	2,382,100.00	28.53	71.47
Gallant	181,854.00	42,594.00	139,260.00	23.42	76.58
Regal	119,344.00	26,603.00	92,741.00	22.29	77.71
Quality	82,000.00	16,000.00	66,000.00	19.51	80.49
Jupiter	467,843.00	85,283.00	382,560.00	18.23	81.77
Global	99,732.00	17,900.00	81,832.00	17.95	82.05
Excellence	871,244.00	123,565.00	747,679.00	14.18	85.82
Allied	334,834.00	26,740.00	308,094.00	7.99	92.01
Mercury	60,211.00	2,521.00	57,690.00	4.19	95.81
SFG	354,685.00	14,053.00	340,632.00	3.96	96.04
Champions	142,939.00	4,712.00	138,227.00	3.30	96.70
Millenial	49,082.00	591.00	48,491.00	1.20	98.80
Tetrad	3,425,370.00	2,669,000.00	756,370.00	0.00	0.00
KMFS	38,781.00	5,750.00	32,945.00	0.00	0.00
Bateleur	0.00	0.00	0.00	0.00	0.00
Brownstone	22,392.00	0.00	22,392.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
TOTAL	37,976,834.00	19,196,136.00	18,790,288.00	50.55	49.45

Table 3.1: Reinsurers by Companies-Short Term

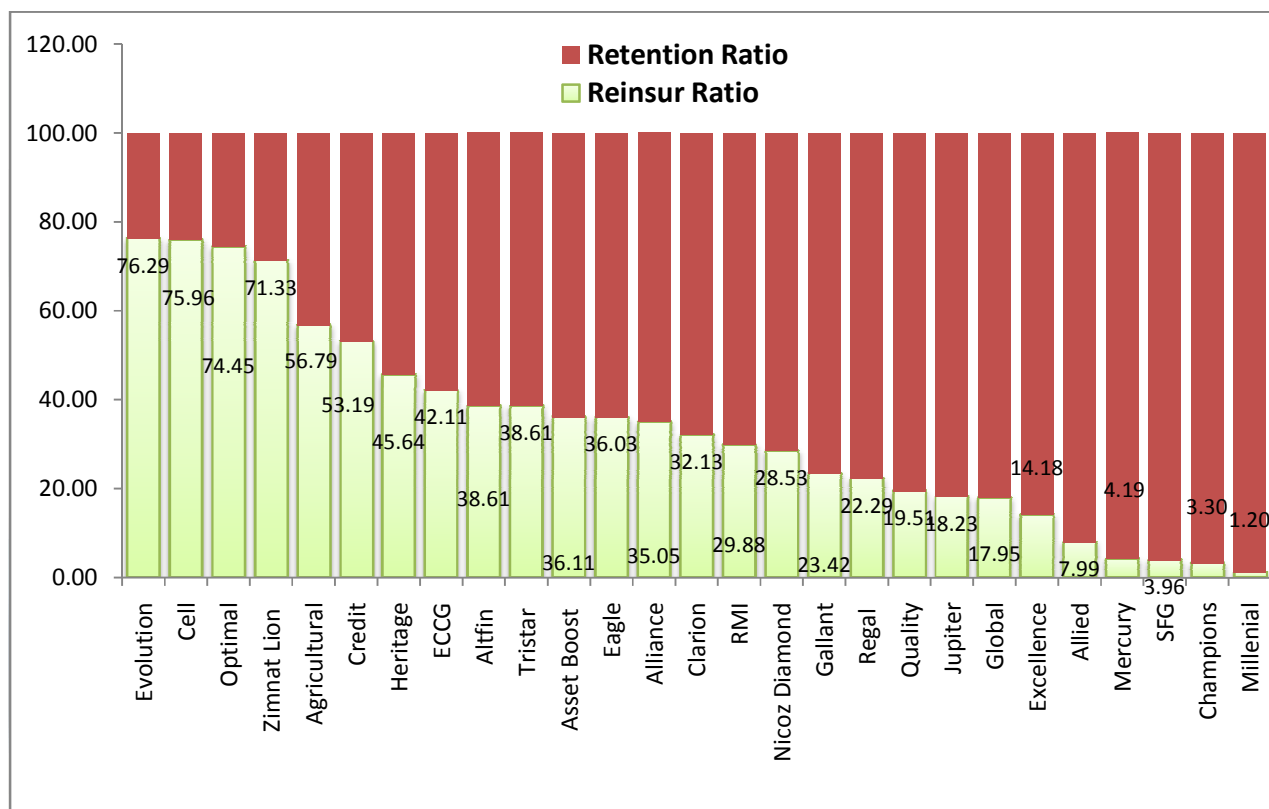


Figure3.1: Retention ratio By Company-Short Term

The average retention and reinsurance levels were 49,45% and 50,55% respectively. However a closer look will show that 21 of the 32 active insurance companies had more than 54% retention on average with some way above 90%. This may be challenging for under capitalized companies when faced with heavy claims. In these constraining liquidity environments coupled with low business volumes the industry is perhaps advised to be prudent on their risk management policies.

3.1.1 REINSURERS

Company	Gross Premium Income	Reinsurance Ceded	Net Premium Income	Reinsurance as % of GPI	Retention as % of GPI
Baobab Re	9,367,816.00	1,327,711.00	8,009,795.00	14.17	85.83
Capland Re	0.00	0.00	0.00	0.00	0.00
Colonade Re	159,425.00	0.00	159,425.00	0.00	100.00
FBC Re	1,514,033.00	299,449.00	1,214,584.00	19.78	80.22
FMRE	4,001,763.00	2,117,671.00	1,884,092.00	52.92	47.08
Grand Re	1,128,145.00	588,705.00	539,440.00	52.18	47.82
New Re	0.00	0.00	0.00	0.00	0.00
Rhino Re	0.00	0.00	0.00	0.00	0.00
Tropical Re	1,022,270.00	580,400.00	441,870.00	56.78	43.22
ZB Re	1,701,820.00	247,215.00	937,495.00	14.53	85.47
TOTAL	18,895,272.00	5,161,151.00	13,186,701.00	27.31	72.69

Table 3.2: Reinsurers by Companies-Reinsurers

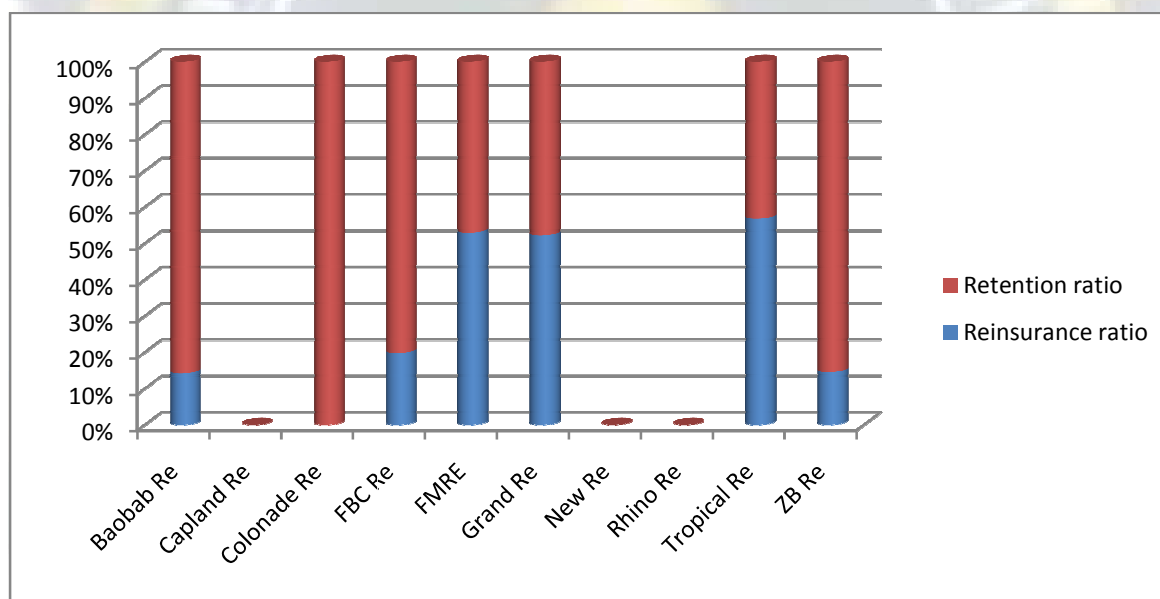


Figure 3.2: Retention ratio By Company-Reinsurers

Two reinsurers accounted for 70,76% Gross Premium Income with the remainder being contributed by 5 active reinsurers. It made interesting observation that 49,58% of GPI was underwritten by one reinsurer. The reinsurance companies ceded 27,31% of GPI retaining 72,69%. It is hoped that the majority will meet capital requirements which will boost their capacity to attract and retain more reinsurance business.

3.2 REINSURANCE BY CLASS

3.2.1 SHORT TERM

Class	Gross Written Premium	Reinsurance Ceded	Net Written Premium	Reinsurance as % of GPW	Retention as %
Aviation	29,700.00	26,252.00	3,448.00	88.39	11.61
Engineering	3,106,184.00	2,606,954.00	499,144.00	83.93	16.07
Hail	3,446,072.00	2,669,736.00	776,336.00	77.47	22.53
P/Liability	831,859.00	636,756.00	195,103.00	76.55	23.45
Fire	11,875,217.00	8,805,237.00	3,069,980.00	74.15	25.85
Marine	792,575.00	480,118.00	312,457.00	60.58	39.42
Bonds/Guarantee	1,234,385.00	636,088.00	598,297.00	51.53	48.47
Misc Accident	2,592,567.00	871,803.00	1,720,764.00	33.63	66.37
P/Accident	2,084,752.00	624,261.00	1,459,677.00	29.94	70.06
H/Purchase	100,582.00	29,658.00	70,924.00	29.49	70.51
Farming	418,485.00	96,919.00	321,566.00	23.16	76.84
Motor	11,464,456.00	1,712,354.00	9,762,592.00	14.94	85.06
Health	0.00	0.00	0.00	0.00	0.00
TOTAL	37,976,834.00	19,196,136.00	18,790,288.00	50.55	49.45

Table 3.3: Reinsurance By Class-Short Term

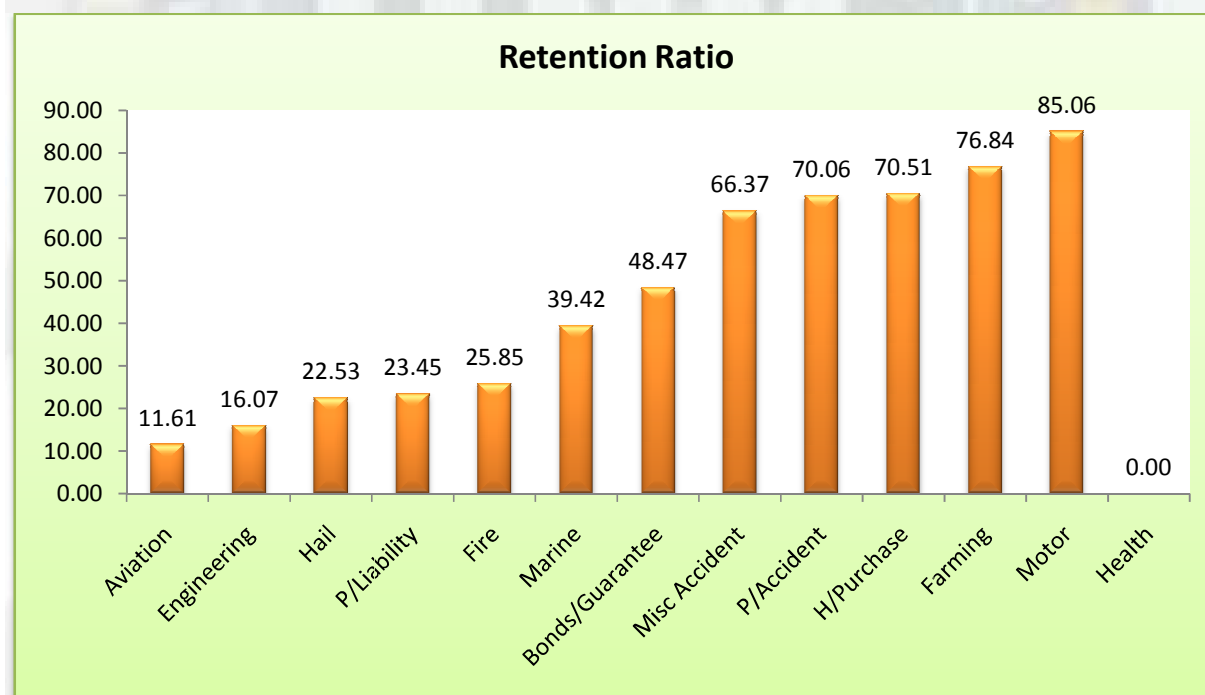


Figure3.3: Retention Ratio-Short Term

The capacity to underwrite Aviation, Engineering, Hail, Public liability, Fire, Marine and Bonds/guarantee is still below 50% retention. However there has been a marked improvement on Miscellaneous Accident and Public Accident where retention has gone up to 66,37% and 70,06% of gross premium income respectively as compared with the 2009 levels which were below 50% of GPI. Short term players could invest in skills to complement their capital adequacy so that they can retain much of the premium income from these specialized risks.



3.2.2 REINSURERS

Class	Gross Written Premium	Reinsurance Ceded	Net Written Premium	Reinsurance as % of GPW	Retention as %
Marine	1,041,998.00	1,123,323.00	-111,635.00	107.80	-7.80
Fire	8,074,646.00	3,102,389.00	4,972,257.00	38.42	61.58
Engineering	1,317,946.00	384,300.00	933,646.00	29.16	70.84
Motor	2,993,362.00	193,648.00	2,282,604.00	6.47	93.53
Misc Accident	3,108,196.00	257,385.00	2,850,811.00	8.28	91.72
Health	581,725.00	48,513.00	533,212.00	8.34	91.66
Aviation	827,774.00	1,871.00	825,903.00	0.23	99.77
Farming	466,318.00	26,350.00	439,968.00	5.65	94.35
Bonds/Guarantee	266,142.00	17,161.00	248,981.00	6.45	93.55
P/Liability	176,705.00	4,191.00	172,514.00	2.37	97.63
P/Accident	39,790.00	1,750.00	38,040.00	4.40	95.60
Hail	670.00	270.00	400.00	40.30	59.70
H/Purchase	0.00	0.00	0.00	0.00	0.00
TOTAL	18,895,272.00	5,161,151.00	13,186,701.00	27.31	72.69

Table 3.4: Reinsurance By Class-Reinsurers

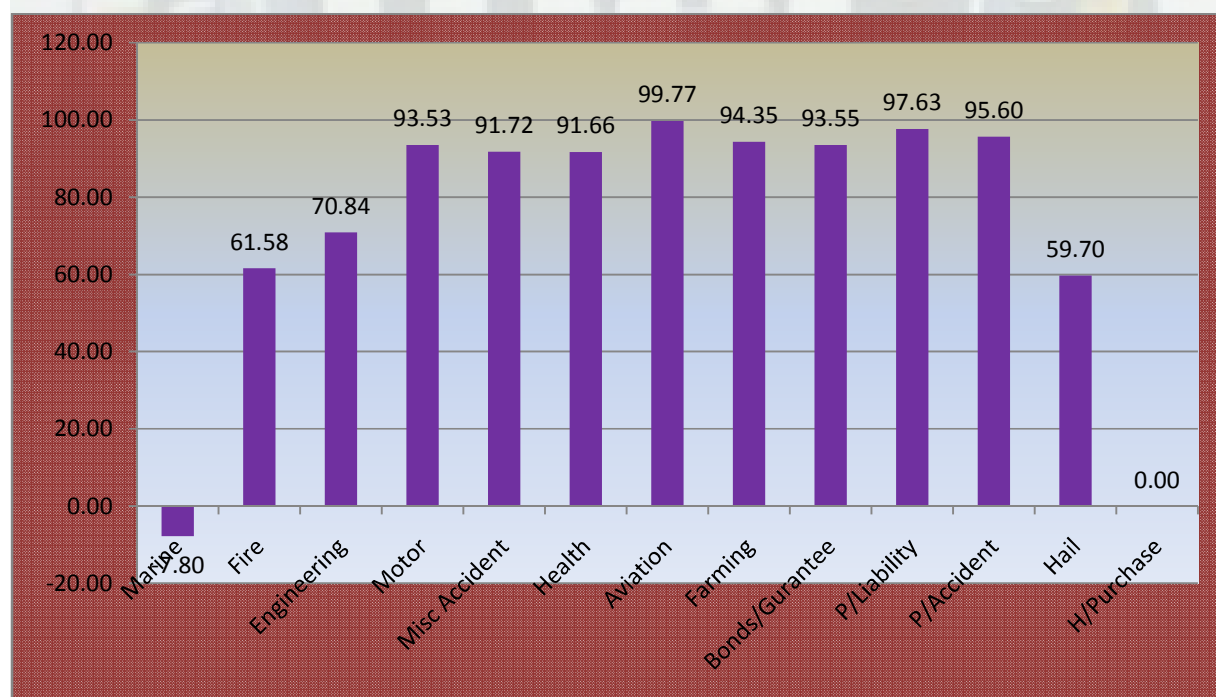


Figure3.4: Retention Ratio-Reinsurers

For the majority of classes the retention was way above 50% suggesting greater ability by reinsurers to underwrite specialized risks such as engineering and aviation.

4.0 CLAIMS

4.1 SHORT TERM

CLASS	NPI	NEP	Net Incurred Claims	Loss Ratio on NPW	Loss ratio on NEP
Fire	3,069,980.00	2,757,502.00	585,519.00	19.07	21.23
Motor	9,762,592.00	7,357,746.00	2,710,156.00	27.76	36.83
Marine	312,457.00	217,076.00	50,314.00	16.10	23.18
Aviation	3,448.00	6,383.00	-409.00	-11.86	-6.41
P/Accident	1,459,677.00	716,513.00	246,495.00	16.89	34.40
P/Liability	195,103.00	94,445.00	17,155.00	8.79	18.16
Misc Accident	1,720,764.00	1,460,168.00	195,947.00	11.39	13.42
Bonds/Guarantee	598,297.00	331,788.00	110,662.00	18.50	33.35
H/Purchase	70,924.00	97,074.00	13,109.00	18.48	13.50
Hail	776,336.00	762,320.00	473,417.00	60.98	62.10
Health	0.00	30.00	321.00	0.00	1,070.00
Farming	321,566.00	373,559.00	15,678.00	4.88	4.20
TOTAL	18,790,288.00	14,591,985.00	4,551,234.00	24.22	31.19

Table 4.1: Incurred Claims by Class-Short Term

4.2 REINSURERS

CLASS	NPI	NEP	Net Incurred Claims	Loss Ratio on NPW	Loss ratio on NEP
Fire	4,972,257.00	3,508,592.00	-178,326.00	-3.59	-5.08
Motor	2,282,604.00	1,934,243.00	1,636,631.00	71.70	84.61
Engineering	933,646.00	488,739.00	147,998.00	15.85	30.28
Marine	-111,635.00	-439,881.00	-49,796.00	44.61	11.32
Aviation	825,903.00	733,127.00	15,531.00	1.88	2.12
P/Accident	38,040.00	12,970.00	-14,260.00	-37.49	-109.95
P/Liability	172,514.00	121,978.00	-83,747.00	-48.55	-68.66
Misc Accident	2,850,811.00	2,238,673.00	503,580.00	17.66	22.49
Bonds/Guarantee	248,981.00	134,892.00	313,385.00	125.87	232.32
H/Purchase	0.00	0.00	0.00	0.00	0.00
Hail	400.00	-120.00	-1,942.00	-485.50	1,618.33
Health	533,212.00	533,212.00	110,445.00	20.71	20.71
Farming	439,968.00	217,792.00	178,201.00	40.50	81.82
TOTAL	13,186,701.00	9,484,217.00	2,577,700.00	19.55	27.18

Table 4.2: Incurred Claims by Class-Reinsurers

The loss ratios for net incurred claims by class-reinsurers on NPW and NEP were 19,55% and 27,18% respectively.

5.0 COMMISSIONS

5.1 SHORT TERM

Company	GPW	Commission Paid	Premium Commission rate
Fire	11,875,217.00	2,737,521.00	23.05
Motor	11,464,456.00	1,251,952.00	10.92
Engineering	3,106,184.00	188,286.00	6.06
Marine	792,575.00	152,568.00	19.25
Aviation	29,700.00	-3,460.00	-11.65
P/Accident	2,084,752.00	531,906.00	25.51
P/Liability	831,859.00	91,169.00	10.96
Misc Accident	2,592,567.00	387,433.00	14.94
Bonds/Guarantee	1,234,385.00	138,451.00	11.22
H/Purchase	100,582.00	15,175.00	15.09
Hail	3,446,072.00	3,944.00	0.11
Health	0.00	0.00	0.00
Farming	418,485.00	71,000.00	16.97
TOTAL	37,976,834.00	5,565,945.00	14.66

Table 5.1: Commissions-Short Term

The commission rate was 14.66% on average. However the Commission is concerned that some players are actually paying commissions higher than those provided for in the regulations (Circular 2 of 2009). Such higher rates of commission will without doubt be passed on to the insuring public or have an element of giving such perpetrators unfair advantage and that is unacceptable. Corrective measures are being taken to charge those who are violating the regulations.

5.2 REINSURERS

Company	GPW	Commission Paid	Premium Commission rate
Fire	8,074,646.00	1,983,112.00	24.56
Motor	2,993,362.00	597,567.00	19.96
Engineering	1,317,946.00	363,180.00	27.56
Marine	1,041,998.00	208,087.00	19.97
Aviation	827,774.00	204,968.00	24.76
P/Accident	39,790.00	11,910.00	29.93
P/Liability	176,705.00	49,328.00	27.92
Misc Accident	3,108,196.00	829,547.00	26.69
Bonds/Guarantee	266,142.00	76,391.00	28.70
H/Purchase	0.00	0.00	0.00
Hail	670.00	4,710.00	702.99
Health	581,725.00	153,582.00	26.40
Farming	466,318.00	106,220.00	22.78
TOTAL	18,895,272.00	4,588,602.00	24.28

Table 5.2: Commissions-Reinsurers

The average commission rate was 24%. Three classes that include fire, miscellaneous accident and motor accounted for 74,32% of the total commission paid.

6.0 RESERVES

6.1 UNEARNED PREMIUM RESERVE-BY CLASS

6.1.1 SHORT TERM

Class	NPI	UPR	Percentage
Fire	3,069,980.00	1,734,500.00	56.50
Motor	9,762,592.00	7,587,565.00	77.72
Engineering	499,144.00	320,213.00	64.15
Marine	312,457.00	180,147.00	57.65
Aviation	3,448.00	1,065.00	30.89
P/Accident	1,459,677.00	743,164.00	50.91
P/Liability	195,103.00	161,457.00	82.75
Misc Accident	1,720,764.00	1,019,203.00	59.23
Bonds/Guarantee	598,297.00	288,671.00	48.25
H/Purchase	70,924.00	19,850.00	27.99
Hail	776,336.00	14,016.00	1.81
Health	0.00	0.00	0.00
Farming	321,566.00	51,247.00	15.94
TOTAL	18,790,288.00	12,121,098.00	64.51

Table 6.1: Unearned Premium Reserve by Class-Short Term

The unearned premium reserves represented 64,51% of the Net Premium Written in the quarter with motor insurance UPR at 62,60% of its Net Premium Income. The above statistics suggests that the insuring public is paying premiums upfront which are both healthy and cheaper for the industry. However players must be reminded to reciprocate the trust by the clients not to abuse UPR funds before they are due.

6.1.2 REINSURERS

Class	NPI	UPR	Percentage
Fire	4,972,257.00	3,567,591.00	71.75
Motor	2,282,604.00	1,261,256.00	55.26
Engineering	933,646.00	793,103.00	84.95
Marine	-111,635.00	659,597.00	-590.85
Aviation	825,903.00	144,040.00	17.44
P/Accident	38,040.00	25,070.00	65.90
P/Liability	172,514.00	71,576.00	41.49
Misc Accident	2,850,811.00	1,097,013.00	38.48
Bonds/Guarantee	248,981.00	117,659.00	47.26
H/Purchase	0.00	0.00	0.00
Hail	400.00	520.00	130.00
Health	533,212.00	0.00	0.00
Farming	439,968.00	342,648.00	77.88
TOTAL	13,186,701.00	8,080,073.00	61.27

Table 6.2: Unearned Premium Reserve by Class-Reinsurers

Unearned premium reserve represented 61,27% of NPI. Fire, Motor and Miscellaneous Accident lead the pack in that order as shown in the table above. This reflects that more direct insurers pay premiums to reinsurers on time.

6.2 RESERVES –BY COMPANY

6.2.1 SHORT TERM

Company	NPI	UPR	Percentage
AICO	25,512.00	0.00	0.00
Alliance	2,075,373.00	3,266,414.00	157.39
Allied	308,094.00	0.00	0.00
Altfin	1,374,000.00	1,048,000.00	76.27
Asset Boost	69,000.00	14,124.00	20.47
Bateleur	0.00	0.00	0.00
Brownstone	22,392.00	0.00	0.00
Cell	1,627,538.00	555,271.00	34.12
Champions	138,227.00	57,020.00	41.25
Clarion	78,520.00	37,540.00	47.81
Credsure	178,077.00	53,152.00	29.85
Eagle	2,073,399.00	1,340,059.00	64.63
Evolution	101,336.00	29,271.00	28.89
Excellence	747,679.00	231,656.00	30.98
ECGC	35,848.00	0.00	0.00
Gallant	139,260.00	43,101.00	30.95
Global	81,832.00	5,187.00	6.34
Heritage	450,489.00	652,959.00	144.94
Jupiter	382,560.00	0.00	0.00
KMFS	32,945.00	0.00	0.00
Mercury	57,690.00	0.00	0.00
Millenial	48,491.00	29,087.00	59.98
Nicoz	2,382,100.00	1,661,170.00	69.74
Optimal	166,724.00	170,855.00	102.48
Quality	66,000.00	30,000.00	45.45
Regal	92,741.00	0.00	0.00
RM	1,743,486.00	454,600.00	26.07
SFG	340,632.00	146,713.00	43.07
Tetrad Hail	756,370.00	0.00	0.00
Total	0.00	0.00	0.00
Tristar	1,775,065.00	1,632,798.00	91.99
Zimnat Lion	1,418,908.00	662,121.00	46.66
TOTAL	18,790,288.00	12,121,098.00	64.51

Table 6.3: Unearned Premium Reserve by Company-Short Term

On average UPR was 64,51% of NPI but a close look will show that some companies do not have much premium received in advance or as annual premium. Insurers are advised to find ways of improving their premium inflows especially annual premiums as compared to monthly. Players must observe the agreement on premium settlement with brokers and those who fail to observe the procedures must be reported to the Regulator without delay.

6.2.2 REINSURERS

Company	NPI	UPR	Percentage
Baobab Re	8,009,795.00	5,243,981.00	65.47
Capland Re	0.00	0.00	0.00
Colonade Re	159,425.00	0.00	0.00
FBC Re	1,214,584.00	1,028,177.00	84.65
FMRE	1,884,092.00	369,988.00	19.64
Grand Re	539,440.00	133,827.00	24.81
New Re	0.00	0.00	0.00
Rhino Re	0.00	0.00	0.00
Tropical Re	441,870.00	365,360.00	82.68
ZB Re	937,495.00	938,740.00	100.13
TOTAL	13,186,701.00	8,080,073.00	61.27

Table 6.4: Unearned Premium Reserve by Company-Reinsurers

The unearned premium reserves are 61,27% of the NPI with the majority of the reinsurers' UPR above 60% of NPI.

6.3 OUTSTANDING CLAIMS RESERVES-BY CLASS

6.3.1 SHORT TERM

Class	NET PREMIUM	NET O/ S RESERVE	% NET O/S CLAIMS
Fire	3,069,980.00	335,289.00	10.92
Motor	9,762,592.00	751,187.00	7.69
Engineering	499,144.00	53,066.00	10.63
Marine	312,457.00	7,377.00	2.36
Aviation	3,448.00	0.00	0.00
P/Accident	1,459,677.00	83,128.00	5.69
P/Liability	195,103.00	20,280.00	10.39
Misc Accident	1,720,764.00	115,770.00	6.73
Bonds/Guarantee	598,297.00	52,832.00	8.83
H/Purchase	70,924.00	12,000.00	16.92
Hail	776,336.00	1,992,190.00	256.61
Health	0.00	0.00	0.00
Farming	321,566.00	4,587.00	1.43
TOTAL	18,790,288.00	3,427,706.00	18.24

Table 6.5: Outstanding Claims Reserve by Class-Short Term

The outstanding claims reserve by class for short term insurers as a percentage of Net Premium Income was 18,24% which on the whole is manageable within the class except for hail. The Commission encourages players to respect their contractual obligations and settle claims on time to mitigate miseries associated with loss.

6.3.2 REINSURERS

Class	NET PREMIUM	NET O/ S RESERVE	% NET O/S CLAIMS
Fire	4,972,257.00	1,073,356.00	21.59
Motor	2,282,604.00	1,042,758.00	45.68
Engineering	933,646.00	498,395.00	53.38
Marine	-111,635.00	71,044.00	-63.64
Aviation	825,903.00	150.00	0.02
P/Accident	38,040.00	0.00	0.00
P/Liability	172,514.00	114,130.00	66.16
Misc Accident	2,850,811.00	797,271.00	27.97
Bonds/Guarantee	248,981.00	321,123.00	128.97
H/Purchase	0.00	0.00	0.00
Hail	400.00	0.00	0.00
Health	533,212.00	0.00	0.00
Farming	439,968.00	125,500.00	28.52
TOTAL	13,186,701.00	4,043,727.00	30.67

Table 6.6: Outstanding Claims Reserve by Class-Reinsurers

The outstanding claims reserve by class was 30,67% of the NPI. While this is still within manageable levels, given that the period under review is short or the claims could have come at the end of the period, players are encouraged to pay on time to protect the cash flows of direct insurers.

6.4 OUTSTANDING CLAIMS RESERVES BY COMPANY

6.4.1 SHORT TERM

Company	NET PREMIUM INCOME	NET EARNED INCOME	NET O / S CLAIM RESERVE	% O/S ON NPI	% O/S ON NEP
AICO	25,512.00	32,529.00	520.00	2.04	1.60
Alliance	2,075,373.00	1,838,126.00	138,173.00	6.66	7.52
Allied	308,094.00	337,766.00	0.00	0.00	0.00
Altfin	1,374,000.00	779,000.00	107,000.00	7.79	13.74
Asset Boost	69,000.00	54,876.00	0.00	0.00	0.00
Bateleur	0.00	30.00	0.00	0.00	0.00
Brownstone	22,392.00	22,392.00	0.00	0.00	0.00
Cell	1,627,538.00	1,239,582.00	79,091.00	4.86	6.38
Champions	138,227.00	191,945.00	5,883.00	4.26	3.06
Clarion	78,520.00	40,980.00	1,410.00	1.80	3.44
Credsure	178,077.00	124,925.00	0.00	0.00	0.00
Eagle	2,073,399.00	733,340.00	84,622.00	4.08	11.54
Evolution	101,336.00	91,121.00	14,636.00	14.44	16.06
Excellence	747,679.00	656,508.00	71,383.00	9.55	10.87
ECGC	35,848.00	35,848.00	18,489.00	51.58	51.58
Gallant	139,260.00	116,660.00	6,938.00	4.98	5.95
Global	81,832.00	91,917.00	25,774.00	31.50	28.04
Heritage	450,489.00	427,376.00	185,879.00	41.26	43.49
Jupiter	382,560.00	382,560.00	0.00	0.00	0.00
KMFS	32,945.00	32,945.00	0.00	0.00	0.00
Mercury	57,690.00	57,690.00	0.00	0.00	0.00
Millenial	48,491.00	69,078.00	0.00	0.00	0.00
Nicoz	2,382,100.00	1,943,750.00	225,690.00	9.47	11.61
Optimal	166,724.00	94,968.00	0.00	0.00	0.00
Quality	66,000.00	90,000.00	0.00	0.00	0.00
Regal	92,741.00	92,741.00	0.00	0.00	0.00
RM	1,743,486.00	2,347,071.00	154,665.00	8.87	6.59
SFG	340,632.00	193,919.00	0.00	0.00	0.00
Tetrad	756,370.00	756,370.00	1,992,190.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Tristar	1,775,065.00	1,511,413.00	228,816.00	12.89	15.14
Zimnat Lion	1,418,908.00	756,787.00	86,547.00	6.10	11.44
TOTAL	18,790,288.00	15,144,213.00	3,427,706.00	18.24	22.63

Table6.7: Outstanding Claims Reserve by Company-Short Term

The outstanding claims reserve by company for short term was 3,427,706 which was 18,24% of Net Premium Income and 22,63% Net Earned Income.

6.4.2 REINSURERS

Company	NET PREMIUM INCOME	NET EARNED INCOME	NET O / S CLAIM RESERVE	% O/S ON NPI	% O/S ON NEP
Baobab Re	8,009,795.00	5,399,418.00	2,376,323.00	29.67	44.01
Capland Re	0.00	0.00	0.00	0.00	0.00
Colonade Re	159,425.00	159,425.00	0.00	0.00	0.00
FBC Re	1,214,584.00	1,146,212.00	529,631.00	43.61	46.21
FMRE	1,884,092.00	1,514,104.00	491,603.00	26.09	32.47
Grand Re	539,440.00	405,613.00	132,780.00	24.61	32.74
New Re	0.00	0.00	0.00	0.00	0.00
Rhino Re	0.00	0.00	0.00	0.00	0.00
Tropical Re	441,870.00	538,020.00	134,750.00	30.50	25.05
ZB Re	937,495.00	414,745.00	378,640.00	40.39	91.29
TOTAL	13,186,701.00	9,577,537.00	4,043,727.00	30.67	42.22

Table6.8: Outstanding Claims Reserve by Company-Reinsurers

The outstanding claims reserve by company for reinsurers was 30,67% and 42,22% of Net Premium Income and Net Earned Income. Notwithstanding other reasons the outstanding claims reserve by class as a percentage of Net Earned Income is getting too high and the industry must address the trend in an effort to protect the direct insurers' business.

6.5 INCURRED BUT NOT REPORTED CLAIMS (IBNR)

6.5.1 BY CLASS- SHORT TERM

Class	GROSS PREMIUM INCOME	NET PREMIUM INCOME	IBNR	% IBNR ON GPI	% IBNR ON NPI
Fire	11,875,217.00	3,069,980.00	188,148.00	1.58	6.13
Motor	11,464,456.00	9,762,592.00	637,616.00	5.56	6.53
Engineering	3,106,184.00	499,144.00	27,912.00	0.90	5.59
Marine	792,575.00	312,457.00	23,200.00	2.93	7.43
Aviation	29,700.00	3,448.00	91.00	0.31	2.64
P/Accident	2,084,752.00	1,459,677.00	88,975.00	4.27	6.10
P/Liability	831,859.00	195,103.00	12,214.00	1.47	6.26
Misc Accident	2,592,567.00	1,720,764.00	38,683.00	1.49	2.25
Bonds/Guarantee	1,234,385.00	598,297.00	43,866.00	3.55	7.33
H/Purchase	100,582.00	70,924.00	1,109.00	1.10	1.56
Hail	3,446,072.00	776,336.00	1,997.00	0.06	0.26
Health	0.00	0.00	321.00	0.00	0.00
Farming	418,485.00	321,566.00	3,294.00	0.79	1.02
TOTAL	37,976,834.00	18,790,288.00	1,067,426.00	2.81	5.68

Table 6.9: Incurred but Not Reported by Class-Short Term

REINSURERS

Class	GROSS PREMIUM INCOME	NET PREMIUM INCOME	IBNR	% IBNR ON GPI	% IBNR ON NPI
Fire	8,074,646.00	4,972,257.00	427,402.00	5.29	8.60
Motor	2,993,362.00	2,282,604.00	185,949.00	6.21	8.15
Engineering	1,317,946.00	933,646.00	66,848.00	5.07	7.16
Marine	1,041,998.00	-111,635.00	117,789.00	11.30	-105.51
Aviation	827,774.00	825,903.00	3,955.00	0.48	0.48
P/Accident	39,790.00	38,040.00	4,970.00	12.49	13.07
P/Liability	176,705.00	172,514.00	27,465.00	15.54	15.92
Misc Accident	3,108,196.00	2,850,811.00	259,068.00	8.33	9.09
Bonds/Guarantee	266,142.00	248,981.00	28,925.00	10.87	11.62
H/Purchase	0.00	0.00	0.00	0.00	0.00
Hail	670.00	400.00	8.00	1.19	2.00
Health	581,725.00	533,212.00	53,321.00	9.17	10.00
Farming	466,318.00	439,968.00	11,962.00	2.57	2.72
TOTAL	18,895,272.00	13,186,701.00	1,187,662.00	6.29	9.01

Table 6.10: Incurred but Not Reported by Class-Reinsurers

6.5.2 BY COMPANY

SHORT TERM

Company	GROSS PREMIUM INCOME	NET PREMIUM INCOME	IBNR	IBNR AS % TO GPI	IBNR AS % TO NPI
AICO	59,042.00	25,512.00	738.00	1.25	2.89
Alliance	3,195,302.00	2,075,373.00	194,230.00	6.08	9.36
Allied	334,834.00	308,094.00	0.00	0.00	0.00
Altfin	2,238,000.00	1,374,000.00	121,000.00	5.41	8.81
Asset Boost	108,000.00	69,000.00	0.00	0.00	0.00
Bateleur	0.00	0.00	0.00	0.00	0.00
Brownstone	22,392.00	22,392.00	0.00	0.00	0.00
Cell	6,769,852.00	1,627,538.00	49,371.00	0.73	3.03
Champions	142,939.00	138,227.00	13,261.00	9.28	9.59
Clarion	100,240.00	78,520.00	0.00	0.00	0.00
Credsure	380,398.00	178,077.00	3,123.00	0.82	1.75
Eagle	3,241,309.00	2,073,399.00	94,472.00	2.91	4.56
Evolution	430,884.00	101,336.00	14,636.00	3.40	14.44
Excellence	871,244.00	747,679.00	37,383.00	4.29	5.00
ECGC	61,929.00	35,848.00	0.00	0.00	0.00
Gallant	181,854.00	139,260.00	768.00	0.42	0.55
Global	99,732.00	81,832.00	1,368.00	1.37	1.67
Heritage	828,757.00	450,489.00	11,262.00	1.36	2.50
Jupiter	467,843.00	382,560.00	0.00	0.00	0.00
KMFS	38,781.00	32,945.00	0.00	0.00	0.00
Mercury	60,211.00	57,690.00	0.00	0.00	0.00
Millenial	49,082.00	48,491.00	0.00	0.00	0.00
Nicoz	3,333,100.00	2,382,100.00	119,110.00	3.57	5.00
Optimal	652,417.00	166,724.00	8,336.00	1.28	5.00
Quality	82,000.00	66,000.00	1,000.00	1.22	1.52
Regal	119,344.00	92,741.00	0.00	0.00	0.00
RM	2,486,457.00	1,743,486.00	122,040.00	4.91	7.00
SFG	354,685.00	340,632.00	6,425.00	1.81	1.89
Tetrad Hail	3,425,370.00	756,370.00	0.00	0.00	0.00
Total Insurance	0.00	0.00	0.00	0.00	0.00
Tristar	2,891,663.00	1,775,065.00	139,255.00	4.82	7.85
Zimnat Lion	4,949,173.00	1,418,908.00	129,648.00	2.62	9.14
TOTAL	37,976,834.00	18,790,288.00	1,067,426.00	2.81	5.68

Table 6.11: Incurred but Not Reported by Company-Short Term

The IBNR by company for short term insurers as percentage of Gross Premium Income and Net Premium Income was 2,81% and 5,68% respectively.

REINSURERS

Company	GROSS PREMIUM INCOME	NET PREMIUM INCOME	IBNR	IBNR AS % TO GPI	IBNR AS % TO NPI
Baobab Re	9,367,816.00	8,009,795.00	463,325.00	4.95	5.78
Capland Re	0.00	0.00	0.00	0.00	0.00
Colonade Re	159,425.00	159,425.00	0.00	0.00	0.00
FBC Re	1,514,033.00	1,214,584.00	85,021.00	5.62	7.00
FMRE	4,001,763.00	1,884,092.00	188,409.00	4.71	10.00
Grand Re	1,128,145.00	539,440.00	211,529.00	18.75	39.21
New Re	0.00	0.00	0.00	0.00	0.00
Rhino Re	0.00	0.00	0.00	0.00	0.00
Tropical Re	1,022,270.00	441,870.00	28,450.00	2.78	6.44
ZB Re	1,701,820.00	937,495.00	210,928.00	12.39	22.50
TOTAL	18,895,272.00	13,186,701.00	1,187,662.00	6.29	9.01

Table 6.12: Incurred but Not Reported by Company-Reinsurers

Incurred but not reported by company for reinsurers was 6,29% and 9,01% of GPI and NPI respectively.

7.0 INCOME STATEMENT ANALYSIS

7.1 PROFIT BY COMPANY

7.1.1 SHORT TERM

COMPANY	Underwriting Profit/(Loss)	Profit before Taxation	Profit After Tax
Agricultural	19,937	29,479	26,301
Alliance	476,680	525,288	408,102
Allied	181,327	236,443	236,443
Altfin	69,000	94,000	94,000
Asset Boost	28,476	36,876	36,876
Bateleur	-23,147	-23,147	-23,147
Brownstone	-6,884	-6,884	-6,884
Cell Insurance	923,373	976,031	866,836
Champions	48,053	65,927	65,927
Clarion	3,640	3,640	2,510
Credsure	-84,696	-43,556	-26,535
Eagle	-21,525	19,437	34,230
Evolution	80,084	82,705	82,705
Excellence	118,342	118,342	118,342
E.C.G.C	-4,182	-2,303	-2,303
Gallant	36,525	38,523	38,523
Global	13,893	15,523	15,523
Heritage	20,960	20,591	20,591
Jupiter	189,447	261,348	261,348
KMFS	-48,594	-44,653	-44,653
Mercury	19,553	20,637	18,445
Millenial	21,959	33,225	33,225
Nicoz Diamond	-346,730	-812,730	-715,730
Optimal	34,247	36,508	51,270
Quality	11,000	-3,000	-6,000
Regal	5,764	5,764	3,983
RM	1,251,931	1,306,864	1,271,684
S.F.G	-124,871	-114,036	-114,036
Tetrad	952,057	952,101	951,913
Total Insurance	0	0	0
Tristar	-598,608	-845,799	-688,906
Zimnat Lion	-87,397	-69,047	74,909
TOTAL	3,159,614	2,914,097	3,085,492

Table 7.1: Profit by Company-Short Term

The profit by company for short term insurers was positive in some players while others found it tough though on the overall the industry made USD 3,085,492 after tax profit. The provision for reserves is still varied as other players deliberately under reserve and an effort will be made to standardize the provision throughout the industry in order to have a clear picture of the profitability of each player.

7.1.2 REINSURERS

COMPANY	Underwriting Profit/(Loss)	Profit Before Tax	Profit After Tax
Baobab Re	484538	711208	711208
Capland Re	0	0	0
Colonade Re	170765	174164	174164
FBC Re	531121	531188	483579
FMRE	250251	-232342	-216402
Grand Re	-359030	-385875	-457398
New Re	0	0	0
Rhino Re	0	456030	346835
Tropical Re	135420	153050	84070
ZB Re	-263	-16383	-3403
TOTAL	1212802	1391040	1122653

Table 7.2: Profit by Company-Reinsurers

Generally most reinsurers posted positive underwriting profits except two. This is an indicator of a healthy situation in the industry. Even for those who are in the negative they are expected to recover after heavy operational costs usually associated with the first quarter.

7.2 DEBTORS TO NPI RATIO

7.2.1 SHORT TERM

Company	NPI	Premium Receivable	Debtors as % NPI
AICO	25,512.00	164,936.00	646.50
Alliance	2,075,373.00	2,417,107.00	116.47
Allied	308,094.00	434,794.00	141.12
Altfin	1,374,000.00	1,153,000.00	83.92
Asset Boost	69,000.00	24,350.00	35.29
Bateleur	0.00	0.00	0.00
Brownstone	22,392.00	115,082.00	513.94
Cell	1,627,538.00	1,732,559.00	106.45
Champions	138,227.00	78,294.00	56.64
Clarion	78,520.00	102,930.00	131.09
Credsure	178,077.00	298,193.00	167.45
Eagle	2,073,399.00	3,472,207.00	167.46
Evolution	101,336.00	135,817.00	134.03
Excellence	747,679.00	450,410.00	60.24
ECGC	35,848.00	40,311.00	112.45
Gallant	139,260.00	19,153.00	13.75
Global	81,832.00	20,755.00	25.36
Heritage	450,489.00	701,463.00	155.71
Jupiter	382,560.00	0.00	0.00
KMFS	32,945.00	10,200.00	0.00
Mercury	57,690.00	0.00	0.00
Millenial	48,491.00	0.00	0.00
Nicoz	2,382,100.00	2,721,000.00	114.23
Optimal	166,724.00	326,525.00	195.85
Quality	66,000.00	31,000.00	46.97
Regal	92,741.00	47,857.00	51.60
RM	1,743,486.00	255,564.00	14.66
SFG	340,632.00	186,506.00	54.75
Tetrad Hail	756,370.00	1,778,000.00	0.00
Total	0.00	0.00	0.00
Tristar	1,775,065.00	1,732,901.00	97.62
Zimnat Lion	1,418,908.00	1,824,026.00	128.55
TOTAL	18,790,288.00	20,274,940.00	107.90

Table 7.3: Debtors to Net Premium Ratio by Company-Short Term

The debtors to Net Premium ratio by Company for Short Term insurers was 107,90%, which is not sustainable at all should this remain the trend to the end of the year. The insurers must therefore employ proactive measures to reduce over-exposure to debtors as this is potentially compromising to claim servicing in a low liquidity economy like ours. It is therefore vital to make sure that all players respect the deadline of 15th of the following month on surrendering outstanding premiums. Players should be reminded that the ball starts with premium payment and unless premiums are paid on time the whole insurance process is compromised.

7.2.2 REINSURERS

COMPANY	NPI	PREMIUM RECEIVABLE	DEBTORS AS % NPI
Baobab Re	8,040,105.00	11,263,074.00	140.09
Capland Re	0.00	3,796,958.00	0.00
Colonade Re	159,425.00	0.00	0.00
FBC Re	1,214,584.00	1,391,640.00	114.58
FMRE	1,884,092.00	2,684,325.00	142.47
Grand Re	539,440.00	654,289.00	121.29
New Re	0.00	11,355.00	0.00
Rhino Re	0.00	0.00	0.00
Tropical Re	441,870.00	483,860.00	109.50
ZB Re	1,454,605.00	1,777,820.00	122.22
TOTAL	13,734,121.00	22,063,321.00	160.65

Table 7.4: Debtors to Net Premium Ratio by Company-Reinsurers

The debtors were 160,65% as a percentage of NPI and the trend is not sustainable should it persist. Reinsurers are therefore encouraged to find ways to make insurers pay on time.

7.3 RETURN ON EQUITY

7.3.1 SHORT TERM

COMPANY	NET PROFIT AFTER TAX	SHAREHOLDER'S FUNDS	R.O.E
AICO	26,301.00	131,027.00	20.07
Alliance	408,102.00	1,654,821.00	24.66
Allied	236,443.00	47,053.00	502.50
Altfin	94,000.00	551,000.00	17.06
Asset Boost	36,876.00	37,000.00	99.66
Bateleur	-23,147.00	75,474.00	-30.67
Brownstone	-6,884.00	165,863.00	-4.15
Cell	866,836.00	2,029,809.00	42.71
Champions	65,927.00	49,396.00	133.47
Clarion	2,510.00	35,760.00	7.02
Credsure	-26,535.00	2,324,157.00	-1.14
Eagle	34,230.00	2,397,695.00	1.43
Evolution	82,705.00	25,509.00	324.22
Excellence	118,342.00	413,365.00	28.63
ECGC	-2,303.00	282,387.00	-0.82
Gallant	38,523.00	71,821.00	53.64
Global	15,523.00	232,304.00	6.68
Heritage	20,591.00	223,199.00	9.23
Jupiter	261,348.00	478,517.00	54.62
KMFS	-44,653.00	308,179.00	-14.49
Mercury	18,445.00	379,332.00	4.86
Millennial	33,225.00	54,983.00	60.43
Nicoz	-715,730.00	7,434,000.00	-9.63
Optimal	51,270.00	337,592.00	15.19
Quality	-6,000.00	353,000.00	-1.70
Regal	3,983.00	99,657.00	4.00
RM	1,271,684.00	2,474,288.00	51.40
SFG	-114,036.00	719,625.00	-15.85
Tetrad Hail	951,913.00	1,457,090.00	65.33
Total	0.00	0.00	0.00
Tristar	-688,906.00	2,597,071.00	-26.53
Zimnat Lion	74,909.00	3,329,290.00	2.25
TOTAL	3,085,492.00	30,770,264.00	10.03

Table 7.5: Return on Equity-Short Term

Generally the return on equity for most short term was low with few others doing well above inflation rate. This is however expected to improve given the high gross premium incomes done by individual players and the generally low claim levels during the period under review.

7.3.2 REINSURERS

COMPANY	NET PROFIT AFTER TAX	SHAREHOLDER'S FUNDS	R.O.E
Baobab Re	711,208.00	50,679,289.00	1.40
Capland Re	0.00	1,192,264.00	0.00
Colonade Re	174,164.00	450,250.00	38.68
FBC Re	483,579.00	3,614,741.00	13.38
FMRE	-216,402.00	2,824,301.00	-7.66
Grand Re	-457,398.00	9,041,901.00	-5.06
New Re	0.00	71,189.00	0.00
Rhino Re	346,835.00	0.00	0.00
Tropical Re	84,070.00	745,230.00	11.28
ZB Re	-3,403.00	2,168,870.00	-0.16
TOTAL	1,122,653.00	70,788,035.00	1.59

Table 7.6: Return on Equity-Reinsurers

The average R.O.E was 1.59%. This is not healthy for the shareholders and companies are encouraged to improve their profits to enhance shareholder value.

8.0 BALANCE SHEET ANALYSIS

8.1.1 SHORT TERM

Company	Shareholders Funds	Technical Liabilities	Other Liabilities	Non Current Assets	Technical Assets	Current Assets
AICO	131,027.00	55,300.00	166,829.00	93,806.00	0.00	259,350.00
Alliance	1,654,821.00	3,635,034.00	1,346,822.00	1,336,734.00	779,093.00	4,520,850.00
Allied	47,053.00	37,303.00	688,517.00	283,367.00	0.00	489,506.00
Altfin	551,000.00	1,433,000.00	1,093,000.00	966,000.00	433,000.00	1,678,000.00
Asset Boost	37,000.00	0.00	41,170.00	39,780.00	0.00	38,390.00
Bateleur	75,474.00	0.00	1,449.00	9,535.00	0.00	67,388.00
Brownstone	165,863.00	0.00	91,207.00	141,435.00	0.00	115,635.00
Cell	2,029,809.00	0.00	2,897,040.00	1,652,602.00	122,565.00	3,151,682.00
Champions	49,396.00	57,019.00	247,795.00	236,357.00	19,263.00	98,590.00
Clarion	35,760.00	16,780.00	134,250.00	76,710.00	0.00	110,080.00
Credsurre	2,324,157.00	53,152.00	367,249.00	2,367,178.00	0.00	377,380.00
Eagle	2,397,695.00	2,114,478.00	2,883,508.00	3,609,880.00	157,546.00	3,628,255.00
Evolution	25,509.00	131,341.00	507,593.00	82,152.00	0.00	582,291.00
Excellence	413,365.00	373,053.00	251,824.00	337,448.00	78,961.00	621,833.00
ECGC	282,387.00	0.00	67,352.00	294,058.00	0.00	55,681.00
Gallant	71,821.00	32,902.00	31,585.00	100,981.00	320.00	35,007.00
Global	232,304.00	46,232.00	52,276.00	262,882.00	16,466.00	51,464.00
Heritage	223,199.00	850,100.00	892,099.00	1,094,652.00	76,100.00	794,646.00
Jupiter	478,517.00	0.00	6,892.00	262,563.00	0.00	222,846.00
KMFS	308,179.00	0.00	61,175.00	353,912.00	0.00	15,442.00
Mercury	379,332.00	0.00	74,801.00	415,560.00	-1,900.00	40,473.00
Millennial	54,983.00	21,929.00	39,511.00	99,114.00	0.00	17,309.00
Nicoz	7,434,000.00	2,174,000.00	2,280,000.00	8,115,000.00	305,000.00	3,468,000.00
Optimal	337,592.00	157,238.00	1,376,637.00	859,963.00	510,379.00	501,125.00
Quality	353,000.00	0.00	79,000.00	377,000.00	9,000.00	46,000.00
Regal	99,657.00	0.00	60,523.00	89,270.00	0.00	70,910.00
RM	2,474,288.00	0.00	2,385,974.00	2,925,776.00	567,717.00	1,366,769.00
SFG	719,625.00	0.00	880,702.00	890,916.00	27,773.00	681,638.00
Tetrad Hail	1,457,090.00	1,992,190.00	3,122,920.00	2,502,000.00	1,594,200.00	2,476,000.00
Total	0.00	0.00	0.00	0.00	0.00	0.00
Tristar	2,597,071.00	1,632,798.00	1,859,985.00	3,786,768.00	31,274.00	2,271,812.00
Zimnat Lion	3,329,290.00	1,540,569.00	1,387,174.00	3,610,216.00	262,460.00	2,384,357.00
TOTAL	30,770,264.00	16,354,418.00	25,376,859.00	37,273,615.00	4,989,217.00	30,238,709.00

Table8.1: Balance Sheet by Company-Short Term

Those insurers who have not yet met the capital requirement (US\$300,000) are encouraged to do so otherwise severe action will be taken against them. It is also important for shareholders to consider injecting more capital in order to boost underwriting capacity as the business outlook improves.

8.1.2 REINSURERS

Table8.2: Balance Sheet by Company-Reinsurers

Company	Shareholders Funds	Technical Liabilities	Other Liabilities	Non Current Assets	Technical Assets	Current Assets
Baobab Re	50,679,289.00	0.00	20,070,213.00	37,931,538.00	2,203,865.00	30,614,099.00
Capland Re	1,192,264.00	3,323,449.00	1,402,542.00	1,360,518.00	715,105.00	3,842,632.00
Colonade Re	450,250.00	0.00	0.00	303,399.00	0.00	146,851.00
FBC Re	3,614,741.00	2,855,149.00	622,445.00	2,437,866.00	1,548,593.00	3,105,876.00
FMRE	2,824,301.00	1,746,943.00	3,362,798.00	4,283,958.00	516,140.00	3,133,944.00
Grand Re	9,041,901.00	1,234,755.00	433,961.00	9,303,656.00	540,298.00	866,663.00
New Re	71,189.00	0.00	87,882.00	147,416.00	0.00	11,655.00
Rhino Re	0.00	0.00	0.00	0.00	0.00	0.00
Tropical Re	745,230.00	0.00	574,350.00	573,790.00	50,000.00	695,790.00
ZB Re	2,168,870.00	1,528,390.00	867,690.00	2,118,540.00	0.00	2,446,410.00
TOTAL	70,788,035.00	10,688,686.00	27,421,881.00	58,460,681.00	5,574,001.00	44,863,920.00

Generally most reinsurers are above the stipulated capital requirement of US\$400,000 and it is our hope that every player will meet the minimum capital requirements by the deadline.

8.2 SOLVENCY RATIOS

8.2.1 SHORT TERM

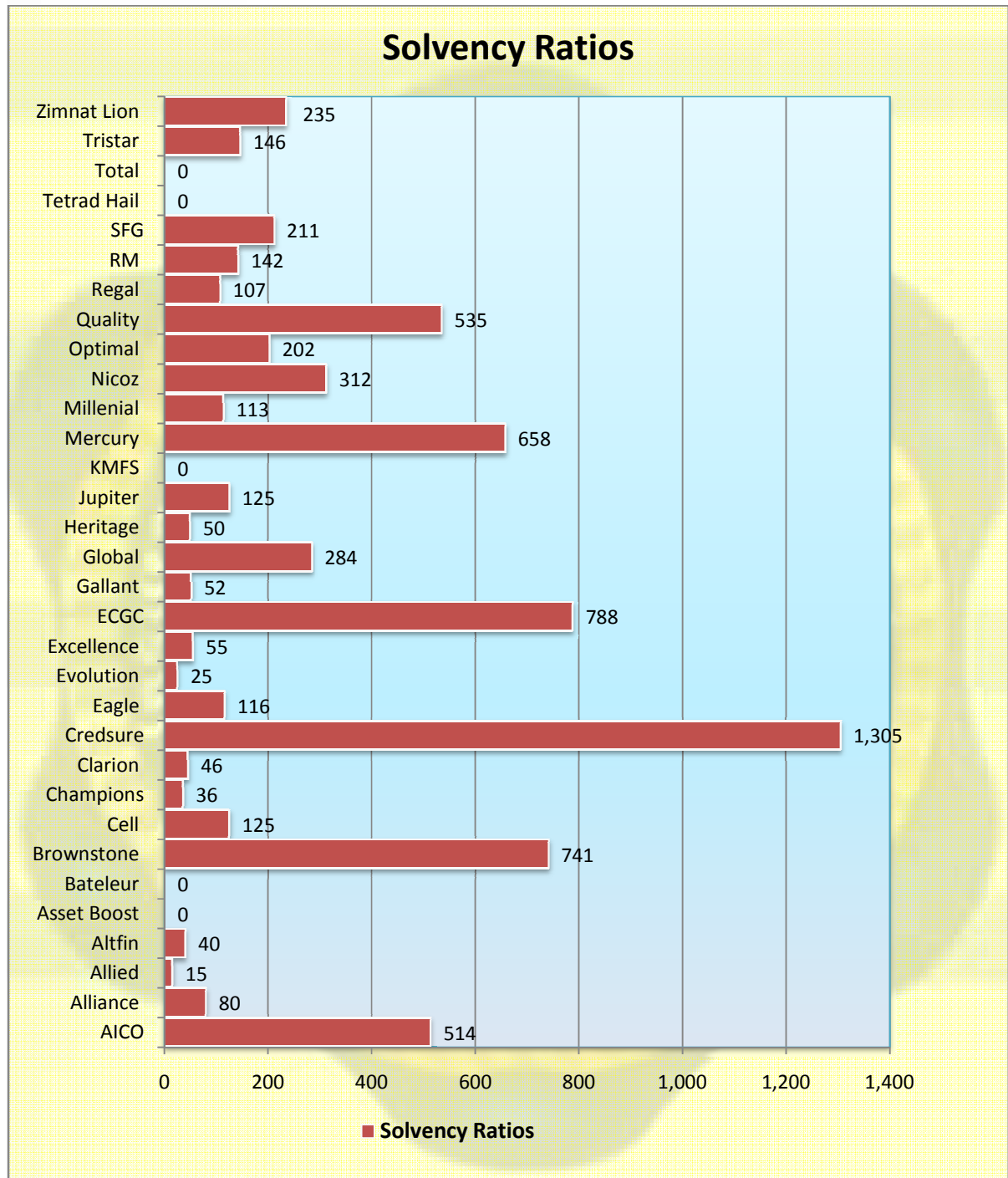


Figure 8.1: Solvency Ratios-Short Term

The majority of the short term companies were above 40% solvency ratio, the internationally recognized minimum standard. Few players are below this and are being encouraged to work towards this minimum for the good of the insuring public and that of the industry.

8.2.2 REINSURERS

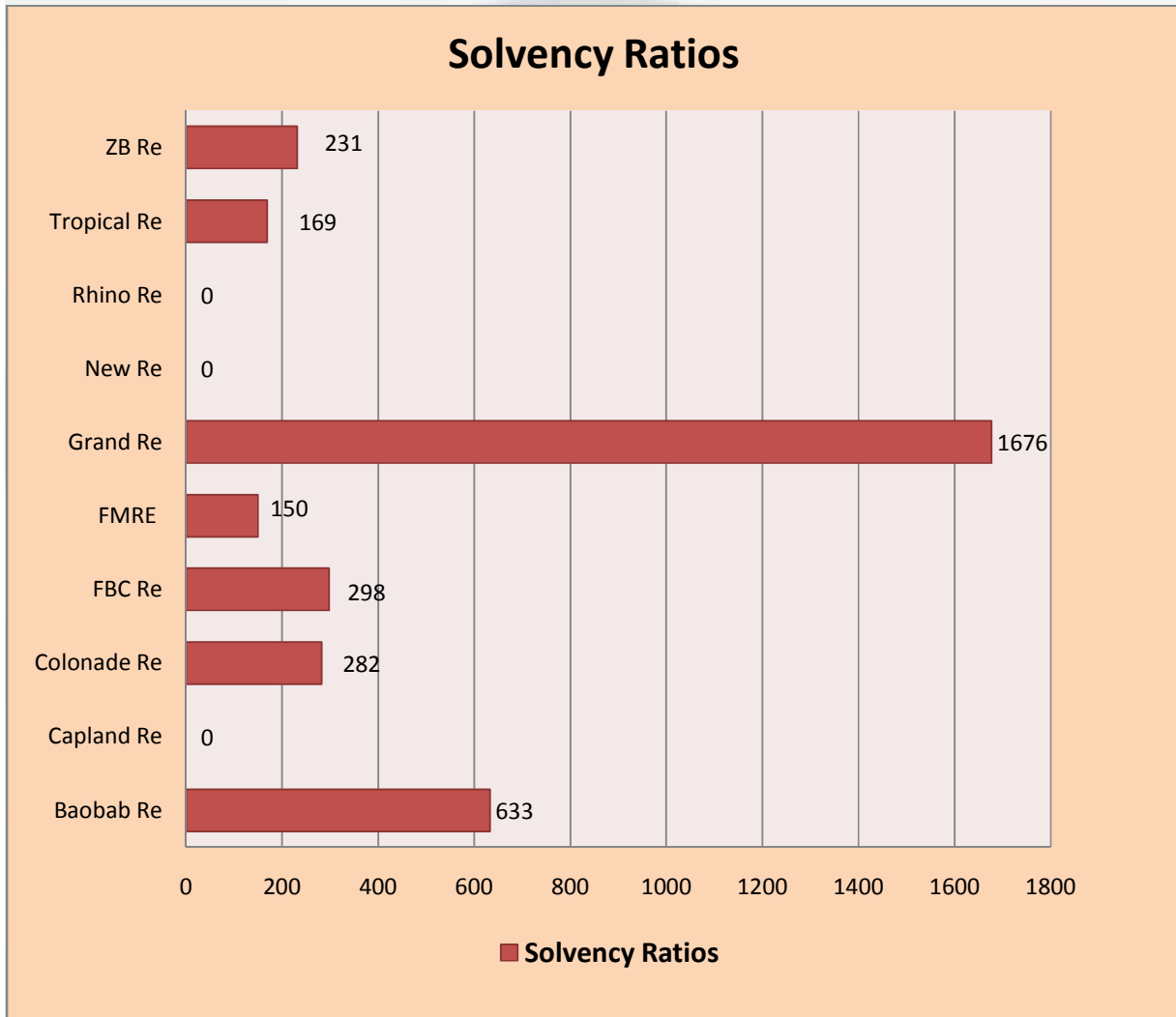


Figure 8.2: Solvency Ratios-Reinsurers

The solvency ratios of all the active reinsurers were above 100% which is above the 40% minimum. This gives confidence to the direct insurers when they pass on risks to financially sound reinsurers.

8.3 RETURN ON CAPITAL EMPLOYED

8.3.1 SHORT TERM

Company	Net Profit Before Tax	Total Assets	ROCE
AICO	12,617.00	353,156.00	3.57
Alliance	468,744.00	6,636,677.00	7.06
Allied	195,824.00	772,873.00	25.34
Altfin	48,000.00	3,077,000.00	1.56
Asset Boost	28,400.00	78,170.00	36.33
Bateleur	-23,117.00	76,923.00	-30.05
Brownstone	-6,885.00	257,070.00	-2.68
Cell	289,022.00	4,926,849.00	5.87
Champions	-46,336.00	354,210.00	-13.08
Clarion	3,640.00	186,790.00	1.95
Credsure	-54,905.00	2,744,558.00	-2.00
Eagle	-81,444.00	7,395,681.00	-1.10
Evolution	-24,763.00	664,443.00	-3.73
Excellence	118,342.00	1,038,242.00	11.40
ECGC	-7,913.00	349,739.00	-2.26
Gallant	25,674.00	136,308.00	18.84
Global	-6,377.00	330,812.00	-1.93
Heritage	15,331.00	1,965,398.00	0.78
Jupiter	183,931.00	485,409.00	37.89
KMFS	-40,325.00	369,354.00	-10.92
Mercury	44,633.00	454,133.00	9.83
Millenial	-47,363.00	116,423.00	-40.68
Nicoz	-857,250.00	11,888,000.00	-7.21
Optimal	-194,094.00	1,871,467.00	-10.37
Quality	-44,000.00	432,000.00	-10.19
Regal	5,764.00	160,180.00	3.60
RM	-37,336.00	4,860,262.00	-0.77
SFG	-113,604.00	1,600,327.00	-7.10
Tetrad Hail	3,425,347.00	6,572,200.00	52.12
Total	0.00	0.00	0.00
Tristar	-793,853.00	6,089,854.00	-13.04
Zimnat Lion	-66,700.00	6,257,033.00	-1.07
TOTAL	2,419,004.00	72,501,541.00	3.34

TABLE 8.3: Return on Capital Employed-Short Term

The return on capital employed was 3,34% on average. This is not encouraging to shareholders should this trend continue to year end when one considers that inflation is around 7%. Players in the industry are therefore urged to improve on their cost efficiency, risk pricing and procurement to improve their return on capital.

8.3.2 REINSURERS

Company	Net Profit Before Tax	Total Assets	ROCE
Baobab Re	711,208.00	70,749,502.00	1.01
Capland Re	0.00	5,918,255.00	0.00
Colonade Re	174,164.00	450,250.00	38.68
FBC Re	531,188.00	7,092,335.00	7.49
FMRE	-232,342.00	7,934,042.00	-2.93
Grand Re	-385,875.00	10,710,617.00	-3.60
New Re	0.00	159,071.00	0.00
Rhino Re	456,030.00	0.00	0.00
Tropical Re	153,050.00	1,319,580.00	11.60
ZB Re	-16,383.00	4,564,950.00	-0.36

TABLE 8.4: Return on Capital Employed-Reinsurers

Save for two players, the majority had negative return on capital employed. This is attributable to high capital levels of reinsurance players in a generally weak business environment. Reinsurance companies can improve their returns by venturing into the external markets as well as improving on their technical expertise in underwriting specialized risks.